

Contract of Sale & Building/Pest Inspection Red Flags — Victoria

What to check before you're legally committed.

Correct as at July 2026. General information only, not legal advice — always have a conveyancer or solicitor review your specific contract before signing.

Section 1 — Understanding the Section 32 (Vendor's Statement)

- ☐ [] **Know what it is.** The Section 32 is a legally required disclosure document under the *Sale of Land Act 1962 (Vic)*, prepared by the vendor's lawyer or conveyancer (not the real estate agent — agents aren't licensed to prepare it).
- ☐ [] **Check it covers all mandatory disclosures:** title details, any mortgages/charges, easements and covenants (registered and known unregistered), planning zone and overlays, building permits from the past 7 years, owner-builder works, owners corporation (body corporate) information, connected services, outgoings (rates, land tax adjustments), and bushfire-prone area designation.
- ☐ [] **Understand your rescission rights.** If the Section 32 is missing entirely, you can end the contract and get your money back at any time before settlement. If it's given late, materially false, or misleading, you may also have rescission rights — but this is assessed narrowly, so get legal advice immediately if something looks wrong rather than assuming you're automatically protected.
- ☐ [] **Check the auction disclosure timing if buying at auction.** The Section 32 must be available for inspection at the auction venue for at least 30 minutes before bidding starts.
- ☐ [] **Note: there's no cooling-off period after auction** — once the hammer falls, you're committed. This makes reviewing the Section 32 and getting your inspection done *before* auction day essential, not optional.

Section 2 — Underquoting & Price Transparency Protections

- ☐ [] **Know your protections around price estimates.** Agents must prepare and display a **Statement of Information** for every residential property advertised for sale (including auctions), showing an indicative selling price or price range, plus comparable recent sales.
- ☐ [] **Understand reserve price disclosure.** Current rules aim to ensure the seller's reserve price is disclosed a set number of days before a scheduled auction — ask your agent directly for the current disclosure timeframe, as this area has been subject to recent reform.
- ☐ [] **Don't rely solely on the advertised range** — treat it as a starting point for research, not a guaranteed ceiling, and compare it against genuinely comparable recent sales yourself.

Section 3 — Building & Pest Inspection: Non-Negotiables

- ☐ [] **Book the inspection before signing (private sale) or before auction day (auction).** There is no cooling-off period at auction, so this is your only opportunity to catch serious issues beforehand.
- ☐ [] **Use a licensed, independent building inspector** — not someone recommended exclusively by the selling agent without your own check, given the obvious conflict of interest.
- ☐ [] **Insist on both a building *and* pest inspection**, ideally combined — timber pest damage (especially termites) is common in older Melbourne and regional VIC homes and isn't always visible to an untrained eye.
- ☐ [] **Ask specifically about:** structural cracking, rising damp/moisture issues, roof condition and any past leaks, asbestos (common in homes built/renovated before the early 1990s), electrical and plumbing age, and any unpermitted structural work (which the Section 32 should also flag via building permit history).
- ☐ [] **Get the report in writing before you sign or bid**, not a verbal summary — you need this as leverage for negotiation and as your own record if problems emerge later.

Section 4 — Common Contract Red Flags

- ☐ [] **Special conditions that override standard protections** — read every special condition carefully; these can vary or remove standard buyer protections found in the general conditions.
- ☐ [] **Subject-to-finance clauses (or their absence)** — if you're not fully pre-approved, a finance clause with a clear timeframe protects you; understand exactly what happens if finance falls through before you sign.
- ☐ [] **Settlement period mismatches** — check the settlement date works with your finance, insurance, and moving logistics; unusually short settlement periods can catch buyers out.
- ☐ [] **Deposit terms** — confirm exactly how much deposit is required, when it's due, and where it's held (usually in the agent's or conveyancer's trust account) before you commit.
- ☐ [] **Chattels/inclusions list** — make sure everything you expect to be included (blinds, dishwasher, garden shed, etc.) is explicitly listed in the contract, not just verbally promised.
- ☐ [] **Owners corporation (body corporate) documents**, if applicable — review the most recent AGM minutes, financials, and any special levies or known disputes before committing to an apartment or townhouse in a strata scheme.

Section 5 — Before You Sign: Final Checks

- ☐ [] **Have a conveyancer or solicitor review the full contract and Section 32** — not just skim it — before you sign anything, whether private sale or pre-auction.
- ☐ [] **Confirm your cooling-off rights apply** (private sale only, not auction, not within 3 clear business days of a scheduled auction) and understand the exit cost (\$100 or 0.2% of purchase price, whichever is greater) if you do need to withdraw.
- ☐ [] **Don't let time pressure rush a decision** — a rushed review of the Section 32 or inspection report is where costly mistakes happen; if you need more time, it's reasonable to ask for it before signing.

Quick Reference — Key VIC Contract Protections

PROTECTION	WHAT IT MEANS
Section 32 (Vendor's Statement)	Mandatory disclosure — missing entirely lets you rescind anytime before settlement
Statement of Information	Agent must show indicative price range + comparable sales for every listed property
Cooling-off period	3 clear business days, private sales only — not auctions
Auction Section 32 access	Must be available for inspection ≥30 minutes before bidding
Building/pest inspection	No legal requirement to provide one — always arrange your own, before signing/auction

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